Credit & Payment Controls: User Manual

How Odoo keeps sales within the credit policy and pays vendors only for what was ordered and received, once, after the right approvals.

If you are…	Start with chapters
Setting the system up for the first time	1, 2
In the sales team	1, 3
In Finance, deciding on customers' credit	1, 4
Paying vendors, or approving vendor payments	1, 5
Looking up a status or fixing a problem	6

For Odoo 19 Enterprise · October 2026. The pictures in this manual come from a demonstration system, so the company, customers, suppliers and amounts in them are made up.

Contents

1. Welcome 3

1.1 Who does what . . . 3

1.2 Where to find things . . . 3

1.3 Working in Arabic . . . 3

2. Setting things up (administrators) 4

2.1 The company's credit limits . . . 4

2.2 The vendor payment thresholds . . . 4

2.3 Payment terms: how much is paid in advance . . . 5

2.4 Special items . . . 5

2.5 Customers: cap and default payment term . . . 5

2.6 Shareholders, payroll accounts and bank accounts . . . 5

2.7 Who can do what . . . 6

2.8 What runs on its own . . . 6

3. Sales: quotations and orders 7

3.1 What you see on a quotation . . . 7

3.2 Sending a quotation . . . 7

3.3 Getting the approvals . . . 7

3.4 Confirming an order . . . 7

3.5 Deliveries and invoices . . . 8

4. Finance: customers' credit 9

4.1 The four credit states . . . 9

4.2 Changing a customer's state . . . 9

4.3 Approving an order over a limit . . . 10

4.4 Credit Exposure . . . 10

5. Paying vendors 12

5.1 Only matched bills are paid . . . 12

5.2 Approvals by amount . . . 12

5.3 Duplicate payments . . . 13

5.4 Trusted bank accounts and shareholders . . . 14

6. Quick reference and common questions 15

6.1 What each status means . . . 15

6.2 Common questions . . . 15

1. Welcome

These controls add your company's credit and payment rules to the Odoo screens you already use. On the sales side, a quotation leaves only on an agreed and approved payment term. An order that would take a customer over their monthly credit cap, or the company over its monthly ceiling, waits for the Finance Manager. Customers with old overdue invoices are put on a watch list, then on hold. On the purchasing side, a vendor bill is paid only when it matches its purchase order and receipt, and larger vendor payments wait for one, two or three approvals.

1.1 Who does what

Who	Where they work	What they do there
Administrator	Settings → Users & Companies	Fills in the company's limits and gives people their roles
Sales team	Sales → Orders → Quotations	Prepares and sends quotations, confirms orders
Finance user	The customer's Credit Control tab	Puts a customer on the watch list, with a reason
Finance Manager	Customers, quotations, vendor payments	Approves payment terms and orders over a limit, holds, blocks and releases customers, gives the first payment approval
Operations Manager	Quotations, vendor payments	Approves sending to watch-listed customers and the second payment level
Chief Executive	Vendor payments	Gives the third payment level
Accounts payable	Invoicing / Accounting → Vendors	Registers vendor payments; follows them to approval

1.2 Where to find things

There is no new app: everything sits in **Sales** and in **Invoicing** (or **Accounting**, if you have full accounting features). The two new menus are **Sales** → **Reporting** → **Credit Exposure** and **Invoicing** → **Vendors** → **Payment Approvals**. Everything else is a new tab, field, button or banner on a screen you know: the customer, the company, the quotation, the vendor bill and the vendor payment.

1.3 Working in Arabic

Every screen, field, status and message of these controls is available in Arabic. Each person chooses their language in their own preferences, and the screens switch to right-to-left.



Figure 1. A quotation in Arabic, laid out right to left, with the payment term banner.

2. Setting things up (administrators)

Do this once per company, in this order. Most of it is done by someone with the **Accounting / Administrator** role. Any limit left at 0 switches its rule off.

2.1 The company's credit limits

1. Go to **Settings** → **Users & Companies** → **Companies** and open your company.
2. On the **Credit Control** tab, enter the **Monthly Credit Ceiling**: the most credit sales the company accepts in one calendar month, in the company currency.
3. Check **Credit Hold After (Days Overdue)** (60 by default): a customer goes on hold once an invoice is overdue by more than this many days.
4. Enter **Special Items Minimum Advance (%)**: the smallest advance a quotation with a special item must carry.

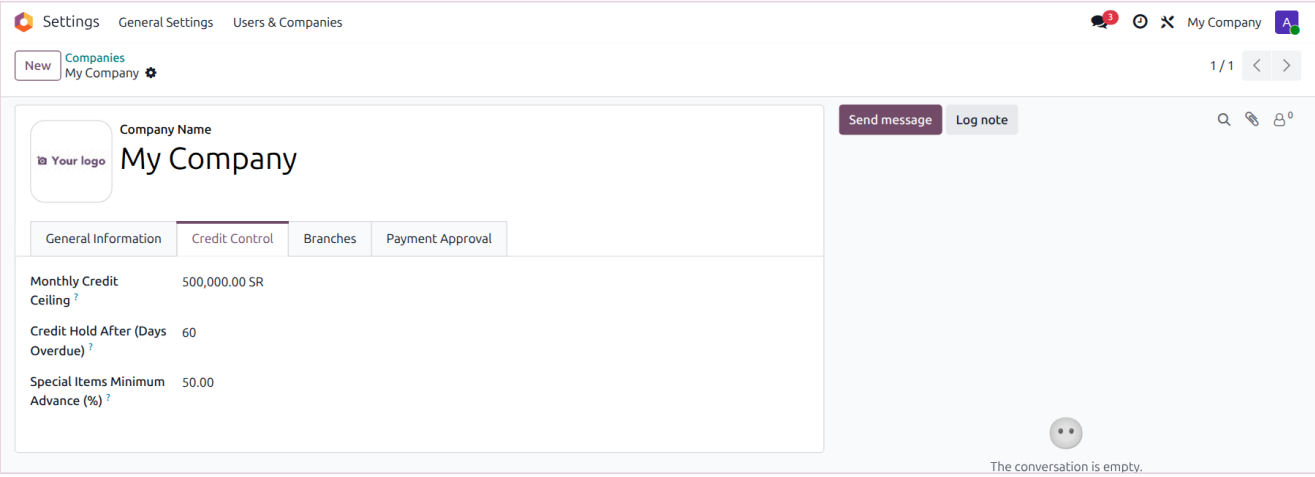


Figure 2. The company's Credit Control tab.

2.2 The vendor payment thresholds

On the same company form, the **Payment Approval** tab holds three amounts. A vendor payment above the first needs the Finance Manager; above the second, also the Operations Manager; above the third, also the Chief Executive. Each threshold must be higher than the one before it.

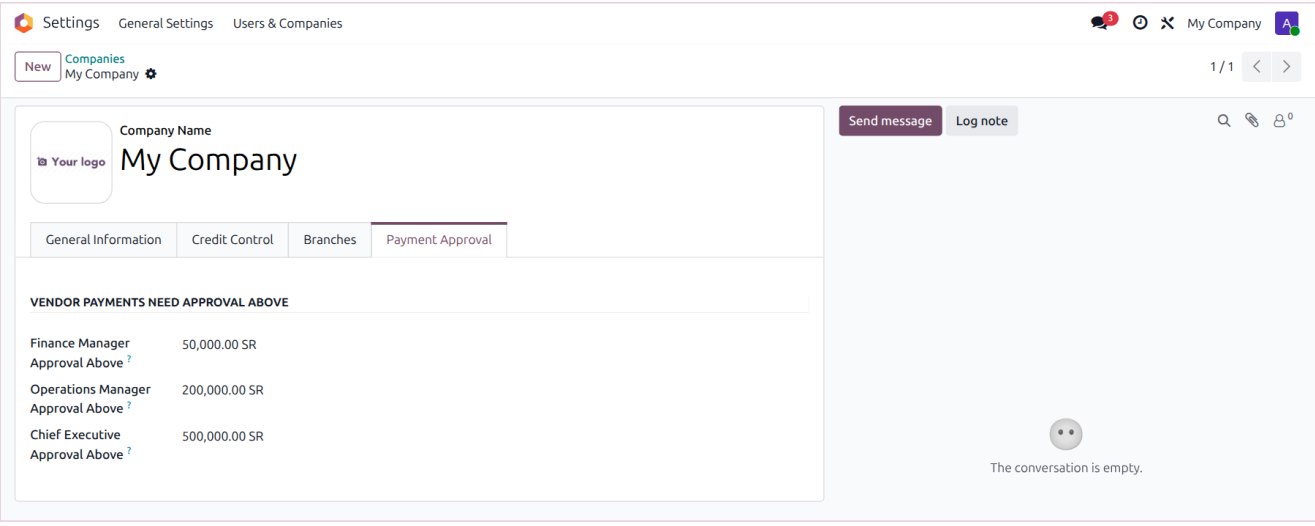


Figure 3. Payment Approval: the three thresholds (50,000, 200,000 and 500,000 in the sample).

Important: Until the thresholds are filled in, no vendor payment asks for approval.

2.3 Payment terms: how much is paid in advance

Open each term in **Invoicing** → **Configuration** → **Payment Terms** and fill in **Advance (%)**. An order on a term with 100 % advance is not a credit sale and never counts against the limits. The advance also decides whether a quotation with a special item may be sent (see 3.2).

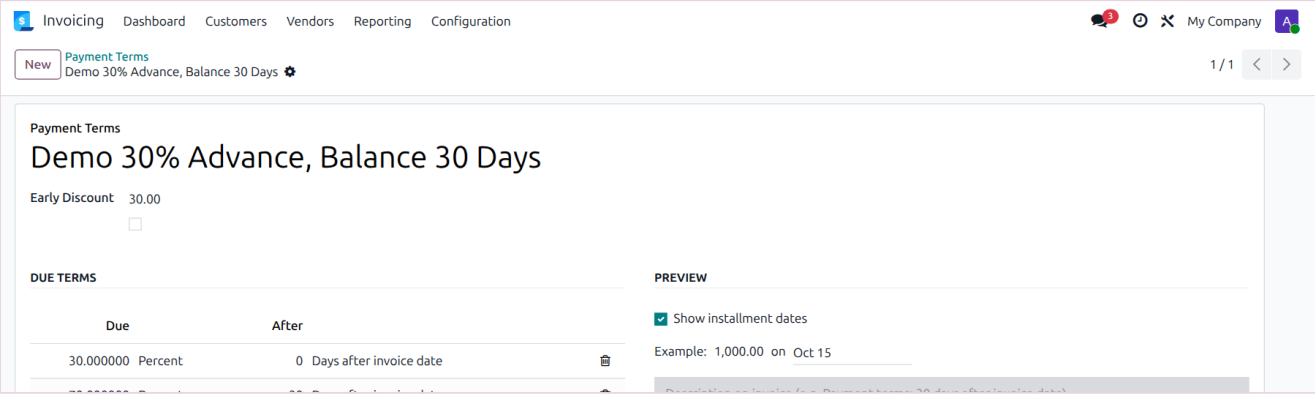


Figure 4. A payment term with 30 % in advance.

2.4 Special items

On a product, tick **Special Item** for the goods your sales policy treats as special. Once it is ticked, **Excluded from Credit Totals** appears: tick it too if order lines of this product should not count as credit sales. The mark shows on quotation, order and purchase order lines in the **Special Item** column.

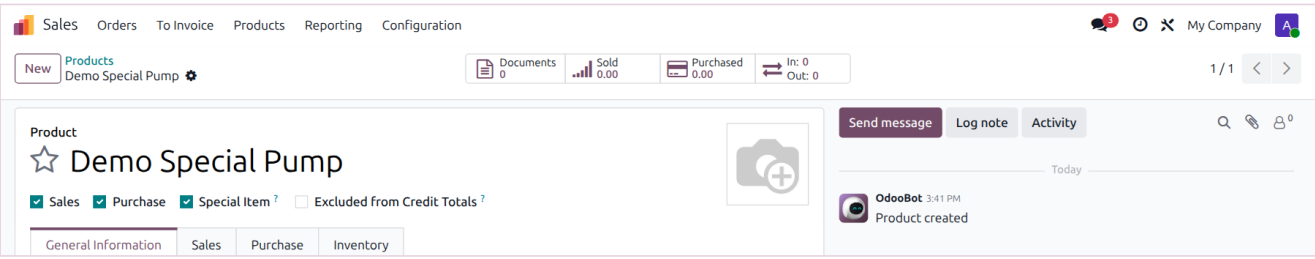


Figure 5. A special item. Excluded from Credit Totals only appears once Special Item is ticked.

2.5 Customers: cap and default payment term

On each customer, the **Credit Control** tab has the **Monthly Credit Cap (%)**: the most this customer may buy on credit in a month, as a share of the company's ceiling (0 means no cap). On the customer form, only the Finance Manager sees and changes it. The customer's usual payment term goes on the **Sales & Purchase** tab: a quotation on any other term needs the Finance Manager's approval before it is sent.

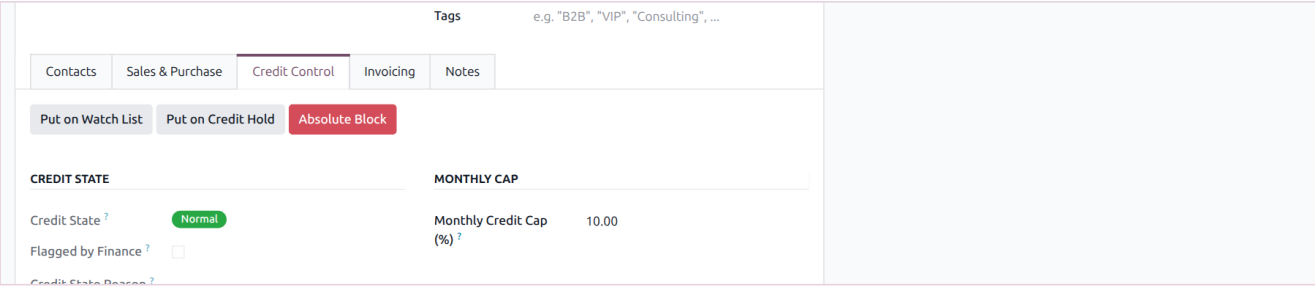


Figure 6. A customer's Credit Control tab: a 10 % cap, state Normal.

2.6 Shareholders, payroll accounts and bank accounts

- Tick **Shareholder** on the contact's **Sales & Purchase** tab for each shareholder.
- Tick **Payroll Expense Account** on the salary and payroll expense accounts in the chart of accounts. A payment to a shareholder can then never be posted to them.
- Mark a vendor's bank account as trusted only after you have checked it with the vendor. Payments to an untrusted account are refused.

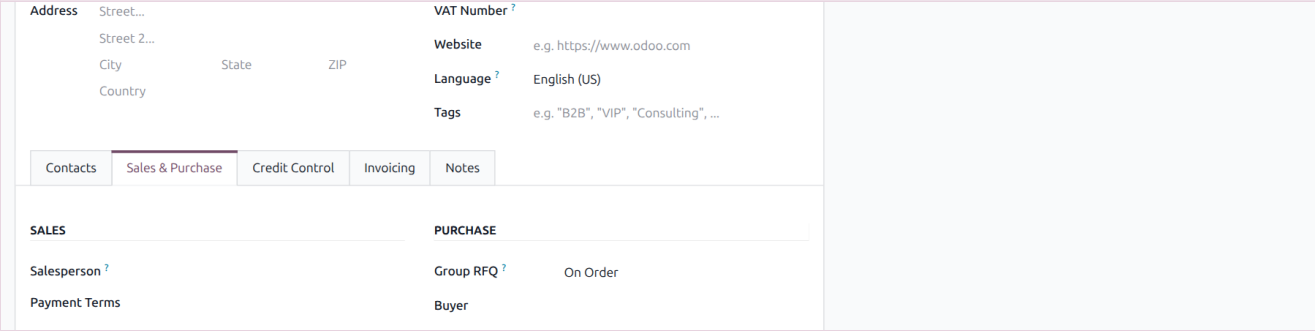


Figure 7. A contact marked Shareholder, on the Sales & Purchase tab.

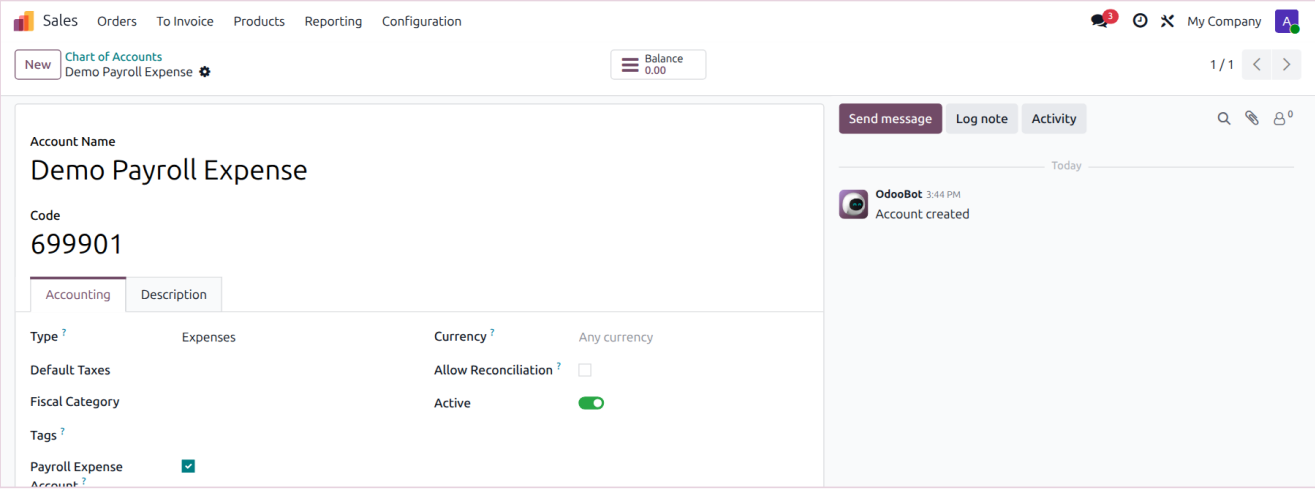


Figure 8. An expense account marked Payroll Expense Account.

2.7 Who can do what

Give each person their role in **Settings** → **Users & Companies** → **Users**:

Person	Role to give	What it allows
Finance Manager	Accounting: Administrator	Approves terms and orders over a limit, sets caps, holds and blocks, first payment approval
Finance user	Accounting: Invoicing	Puts customers on the watch list (with a reason) and removes the flag
Operations Manager	Quotation Approval: Quotation Send Approver; Vendor Payment Approval: Payment approver (Operations)	Approves sending to watch-listed customers; second payment approval
Chief Executive	Vendor Payment Approval: Payment approver (Chief Executive)	Third payment approval
Finance Manager (also)	Quotation Approval: Quotation Send Approver	Approves sending to watch-listed customers
Administrator	Administration: Settings	Releases a blocked duplicate payment

2.8 What runs on its own

Two scheduled actions come with the controls (**Settings** → **Technical** → **Scheduled Actions**, developer mode): **Credit Control: nightly credit check** updates every customer's credit state each night, and **Credit Control: weekly watch-list email** sends each company's Finance Managers the watch-listed and held customers, largest overdue amount first. The email only goes to Finance Managers who have an email address.

3. Sales: quotations and orders

3.1 What you see on a quotation

Next to the payment term, a quotation shows the **Customer Credit Share (%)** (how much of the company's monthly ceiling this customer has used this month) and the **Customer Credit Cap (%)**. If the customer is under **Absolute Block**, Odoo refuses to save a quotation for them at all.

3.2 Sending a quotation

When you press **Send**, Odoo checks four things, in this order, and stops at the first one that fails, telling you what is missing:

1. The quotation has a payment term.
2. If it holds a special item, the term's advance is at least the company's special items minimum.
3. The term is the customer's usual one, or the Finance Manager has approved it on this quotation.
4. If the customer is on the credit watch list, the Operations Manager or the Finance Manager has approved sending it.

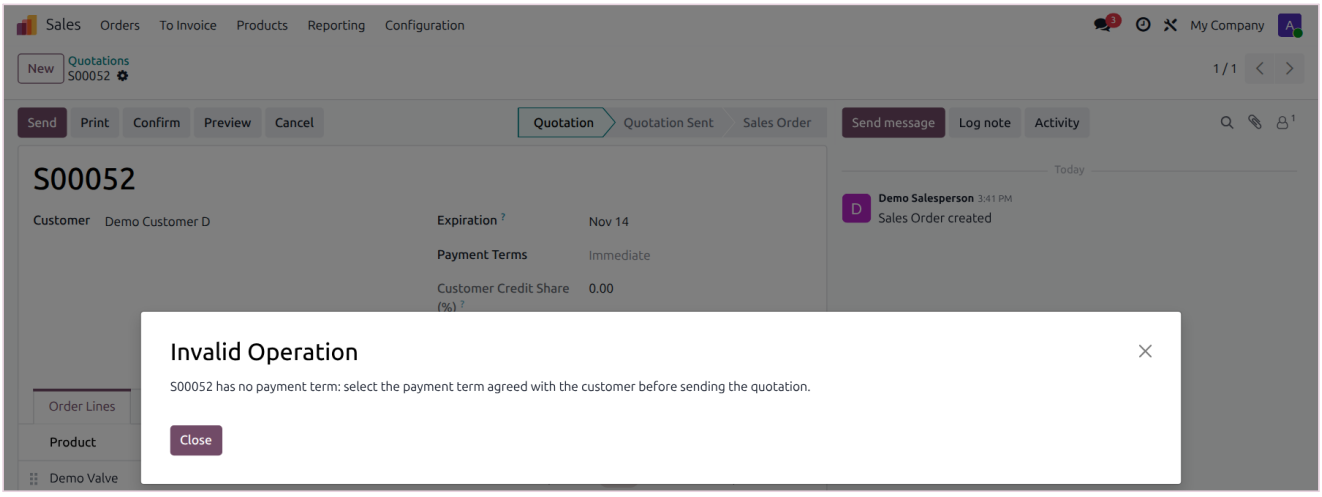


Figure 9. Pressing Send on a quotation without a payment term.

When everything is in order, the email window opens exactly as before. **Mark as Sent** (without an email) is not checked.

3.3 Getting the approvals

A red banner at the top of the quotation tells you what is waiting. Ask the right person to open the quotation:

- **Approve Payment Term** (Finance Manager) when the term is not the customer's usual one.
- **Approve Sending** (Operations or Finance Manager) when the customer is on the watch list.

Who approved, and when, is shown on the **Other Info** tab. If you change the payment term afterwards, the term approval is cleared; if you change the customer, both approvals are cleared. A term approval never lifts the special items minimum.

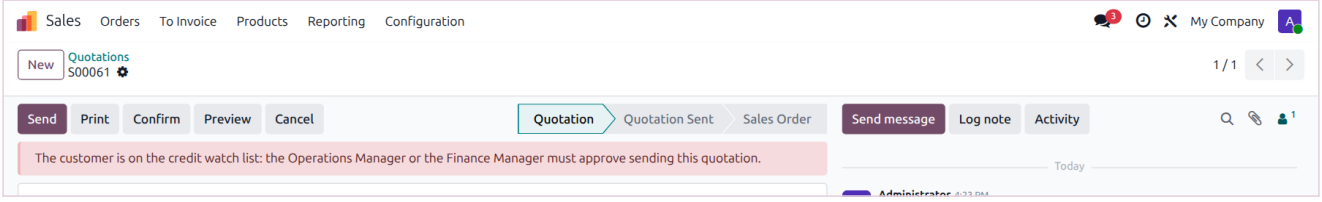


Figure 10. A quotation to a watch-listed customer: sending waits for approval.

3.4 Confirming an order

Confirm checks the customer's credit first:

- Customer on **Credit Hold** or **Absolute Block**: the order cannot be confirmed until the Finance Manager releases the customer.

- Order on a term that is not 100 % advance, which would take the customer's credit sales of the month above their cap, or the company's above its ceiling: the order is **not** confirmed. It is marked *Waiting for Approval*, a message says so, and a red banner appears.
- An order that lands exactly on the cap or the ceiling confirms normally.

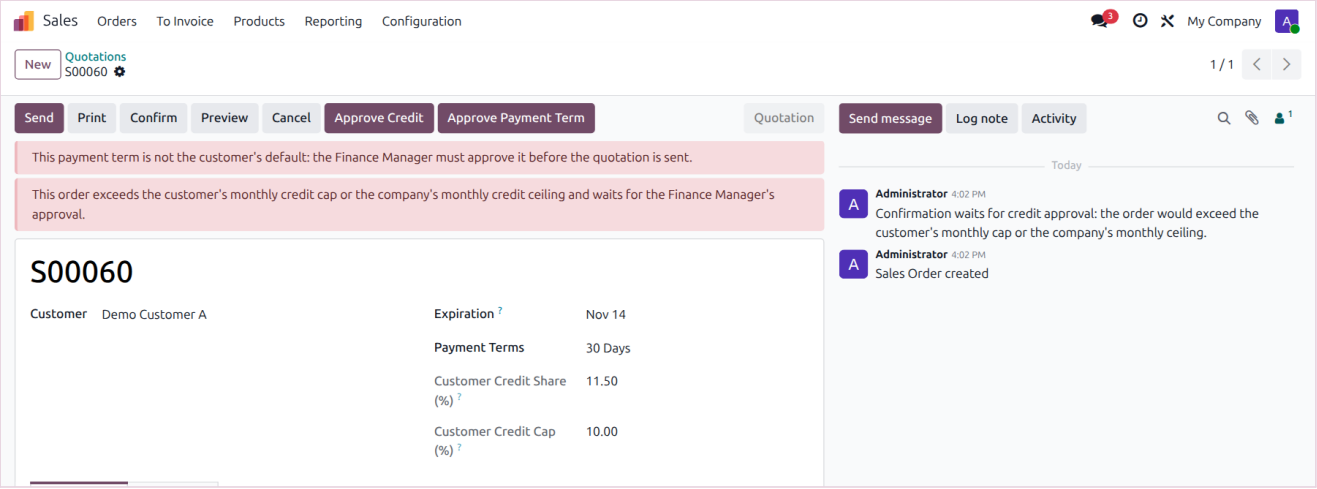


Figure 11. An order waiting for credit approval (and, here, also for its payment term approval).

Once the Finance Manager approves it (see 4.3), the order is confirmed straight away; you don't press Confirm again.

3.5 Deliveries and invoices

Deliveries to a customer on Credit Hold or Absolute Block cannot be validated, and invoices to a customer under Absolute Block cannot be posted. Receipts, vendor bills and refunds are not affected.

4. Finance: customers' credit

4.1 The four credit states

State	How it is set	How it ends	What it stops
Normal	-	-	Nothing
Watch List	The nightly check finds an overdue invoice, or Finance puts the customer on it with a reason	The nightly check, once nothing is overdue and no Finance flag remains	Sending quotations without approval
Credit Hold	The nightly check finds an invoice overdue by more than the hold days, or the Finance Manager	Only the Finance Manager lifts it	Confirming orders, validating deliveries
Absolute Block	The Finance Manager	Only the Finance Manager lifts it	Quotations, orders, deliveries and customer invoices

4.2 Changing a customer's state

Open the customer and go to the **Credit Control** tab. The buttons you see depend on your role and on the customer's state: **Put on Watch List** and **Remove Finance Flag** (Finance), **Put on Credit Hold**, **Lift Credit Hold**, **Absolute Block** and **Lift Absolute Block** (Finance Manager).

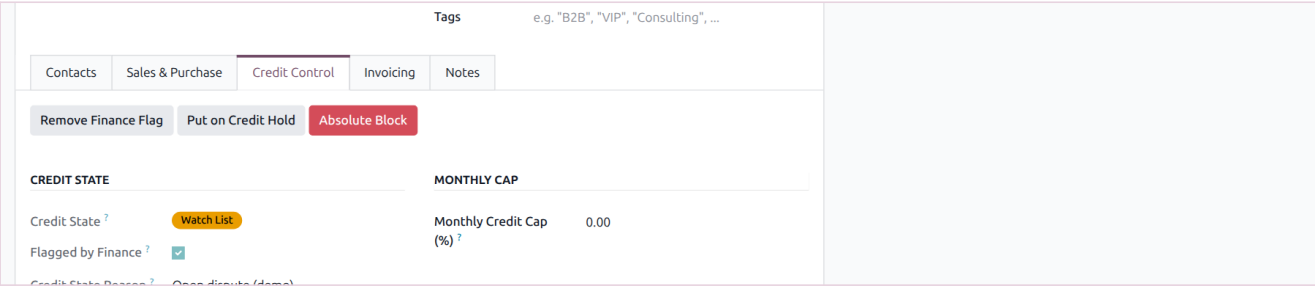


Figure 12. A customer Finance put on the watch list, with the reason.

Every button opens a small window asking for the **Reason**. Press **Confirm** and the reason is kept on the customer, in **Credit State Reason**; a change of state is also logged in the customer's history.

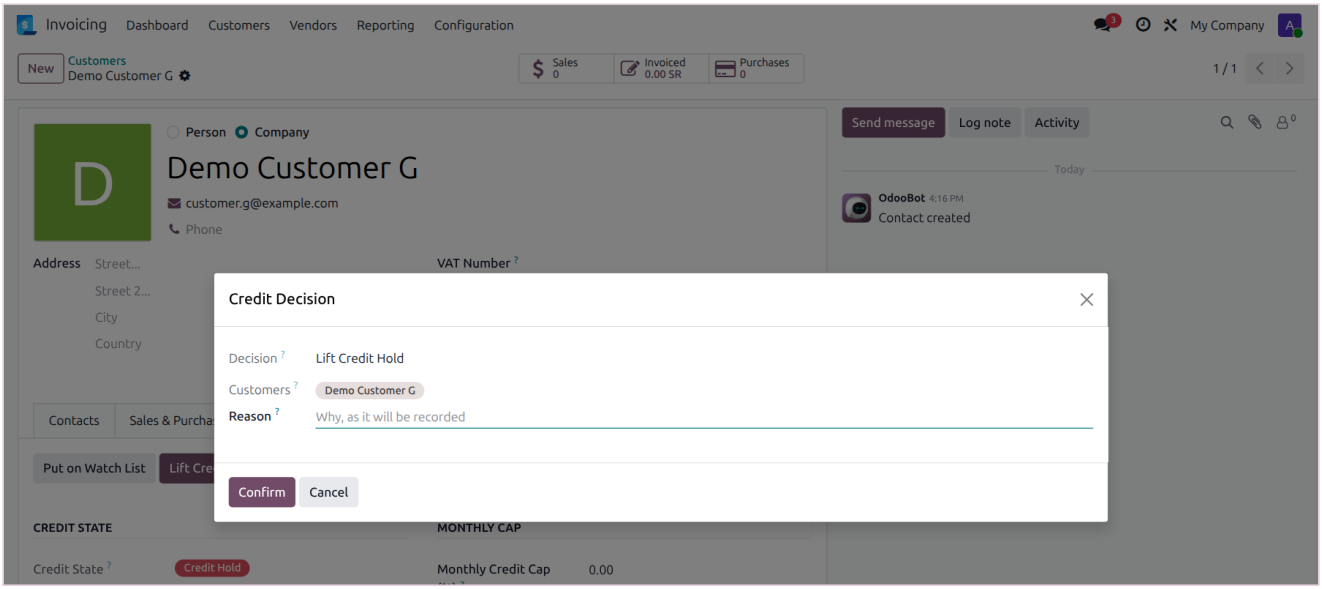


Figure 13. Lifting a credit hold: the reason is required.

Good to know: When you lift a hold, the invoices that caused it are remembered and will not put the customer back on hold. A new invoice passing the hold days will. Absolute Block asks you to confirm before it is applied.

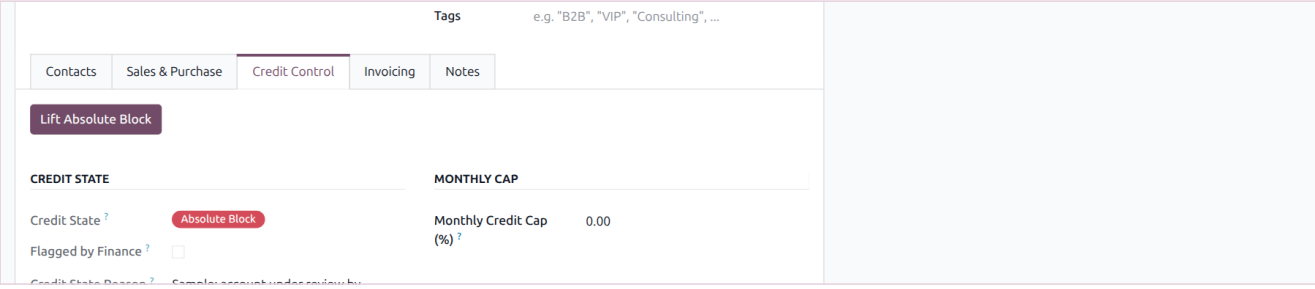


Figure 14. A customer under Absolute Block: only Lift Absolute Block remains.

4.3 Approving an order over a limit

1. Open the order (it shows the red banner and *Waiting for Approval*).
2. Press **Approve Credit**, write the reason, and press **Confirm**.
3. The order is confirmed. Your name, the date and the reason are kept in the **Credit Approval** section of the **Other Info** tab.

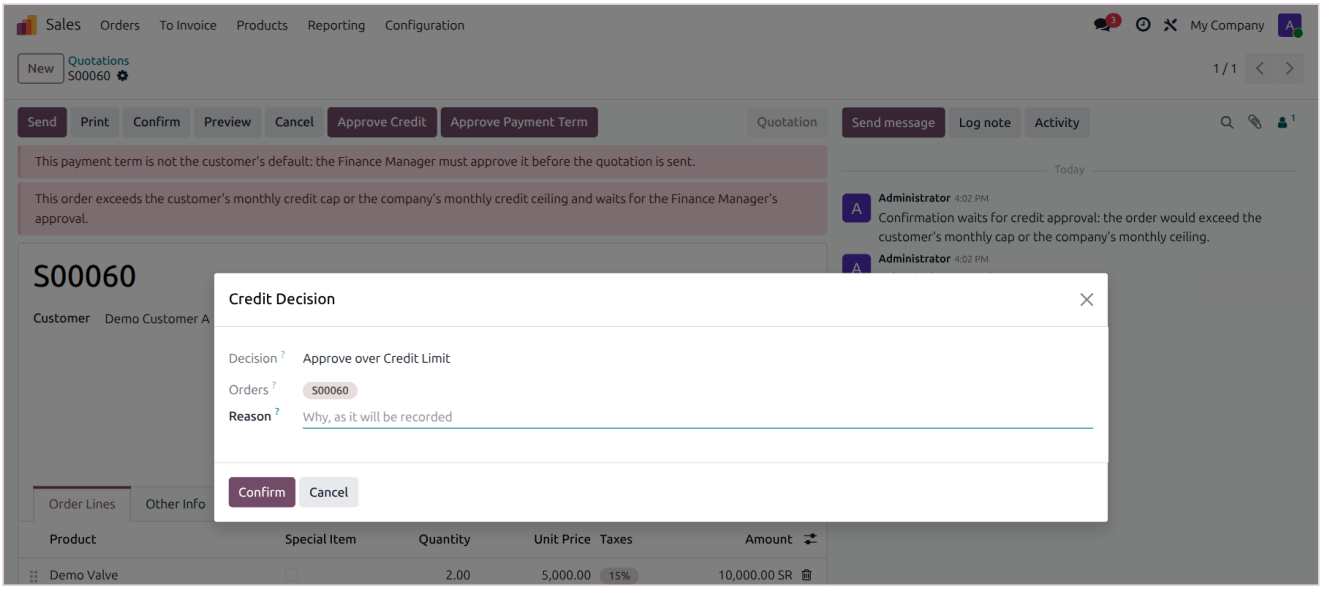


Figure 15. Approve Credit: the Finance Manager gives the reason.

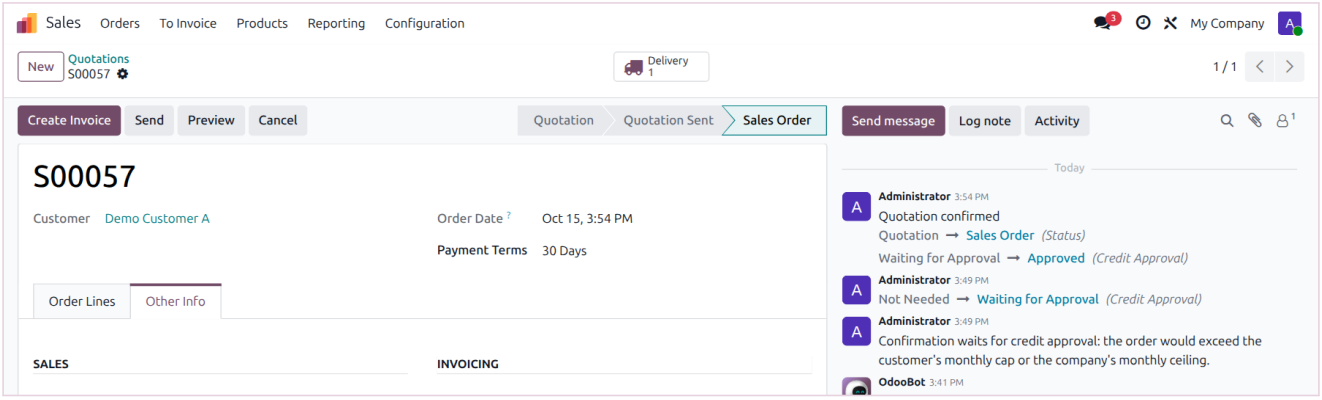


Figure 16. The order's history: waiting for approval, then approved and confirmed.

4.4 Credit Exposure

Sales → **Reporting** → **Credit Exposure** shows, for this month, each customer's credit sales (with VAT, in the company currency), the company's ceiling, the customer's share of it and their cap. Remove the *This Month* filter to see earlier months; group by month, company or customer.

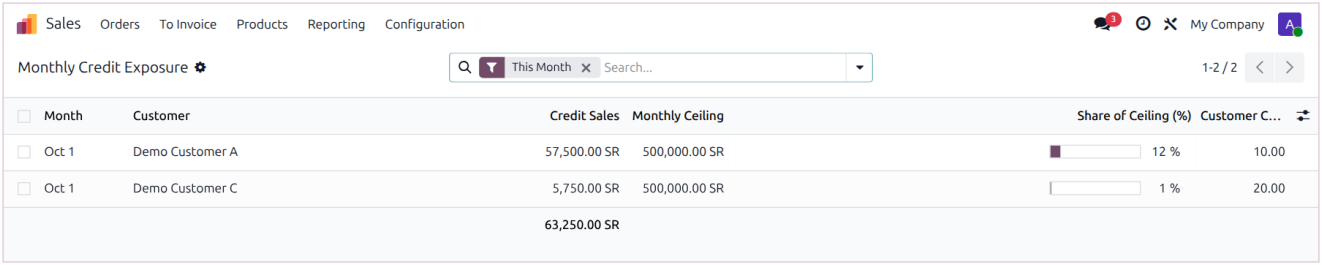


Figure 17. Credit Exposure for this month.

Important: The *Over Cap* filter currently lists every customer that has a cap, not only those above it. Compare **Share of Ceiling** with **Customer Cap** to find the customers over their cap.

In the customer list, the filters **Credit Watch List** and **Credit Hold or Block** find those customers.

5. Paying vendors

5.1 Only matched bills are paid

A vendor bill can be paid only when its **Should Be Paid** field says **Yes**, which Odoo sets when the bill matches its purchase order and receipt. If it says **No** or **Exception**, **Pay** refuses and names the bill. The same happens when you validate a batch payment that holds such a bill.

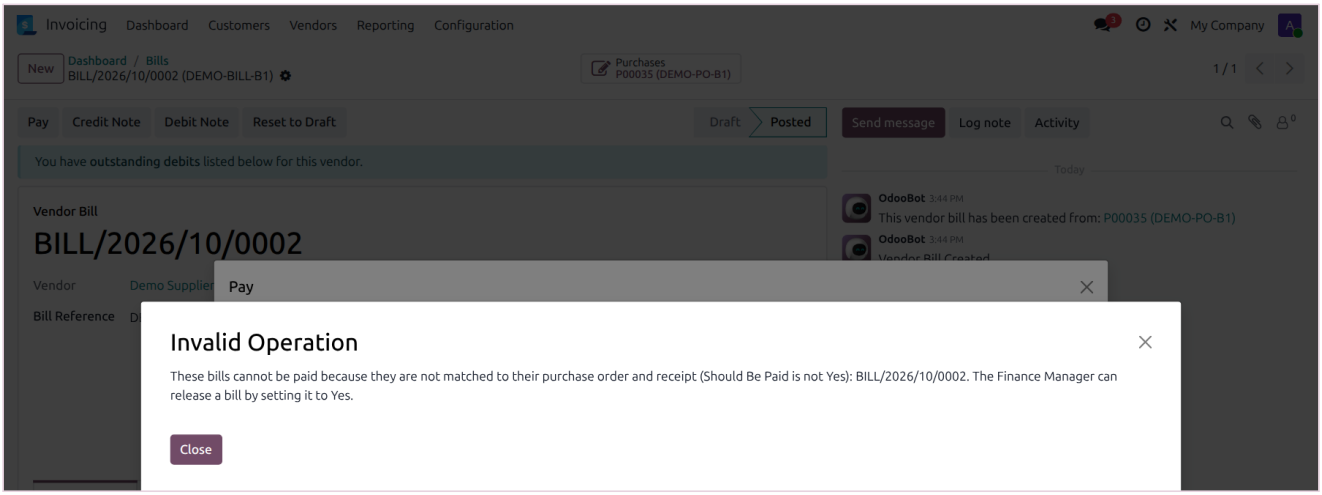


Figure 18. Paying a bill whose Should Be Paid is Exception.

- A **service bill raised without a purchase order** is paid without a match.
- To pay a bill in Exception after checking it, the Finance Manager sets **Should Be Paid** to **Yes** on the bill. The payment then goes through the approvals below.

5.2 Approvals by amount

When you register a payment from a bill, a payment that needs an approval is created and left in **Draft** for the approvers instead of being refused. Its **Approval Status** tells you who is next:

Amount (company currency)	Approvals needed before the payment can be confirmed
Up to the first threshold	None
Above the first threshold	Finance Manager
Above the second threshold	Finance Manager, then Operations Manager
Above the third threshold	Finance Manager, then Operations Manager, then Chief Executive

1. Open **Invoicing** → **Vendors** → **Payments**. The **To Approve** filter lists the payments waiting.
2. Open a payment and press **Approve**. You give the level it is waiting for, if your role allows it; the approval is noted in the payment's history.
3. When every level is given, the status becomes **Approved** and the payment can be confirmed as usual.

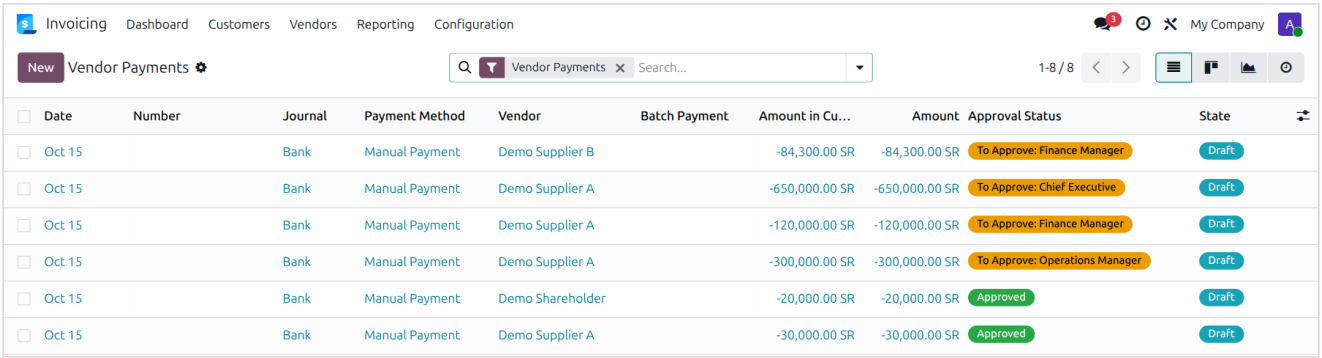


Figure 19. Vendor payments with their Approval Status.

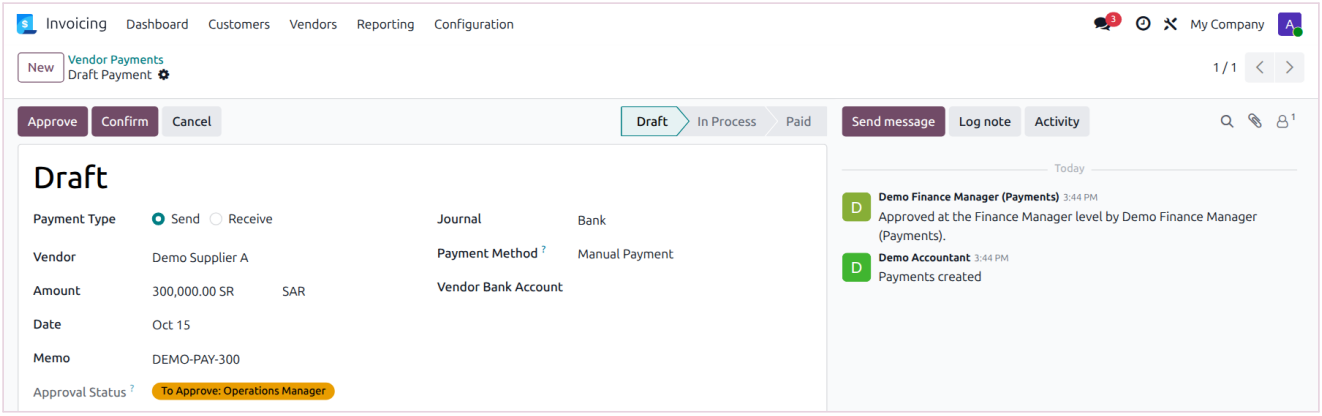


Figure 20. A payment waiting for the Operations Manager after the Finance Manager approved it.

Levels are given in order, one per click: someone who holds two approver roles presses **Approve** twice. Users with full accounting features and the approvers also see an **Approvals** tab with who approved each level and when, and **Invoicing** → **Vendors** → **Payment Approvals** lists every approval given.

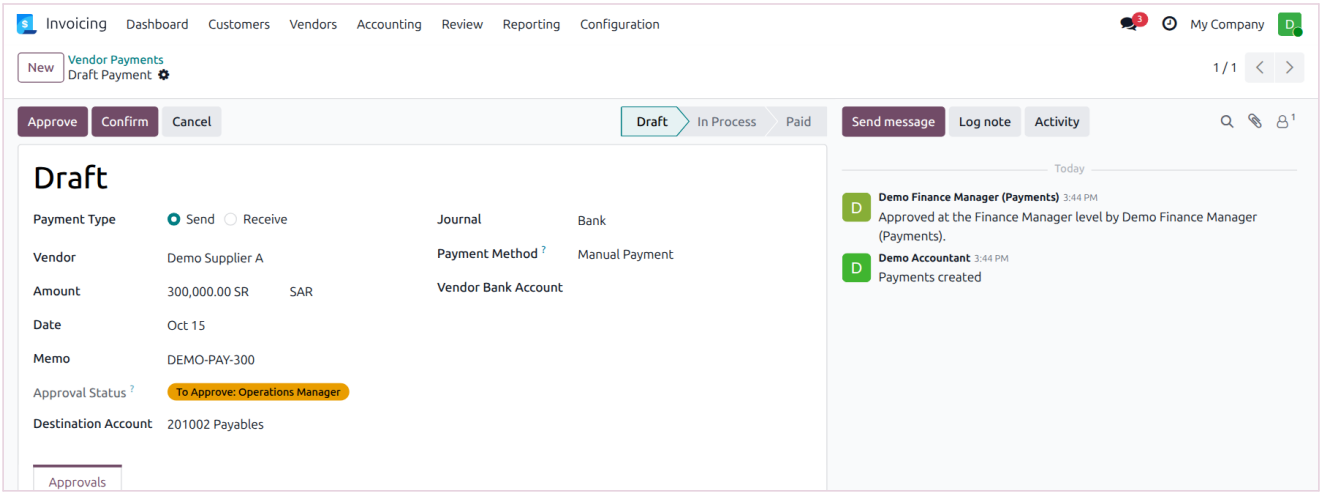


Figure 21. The Approvals tab of a payment.

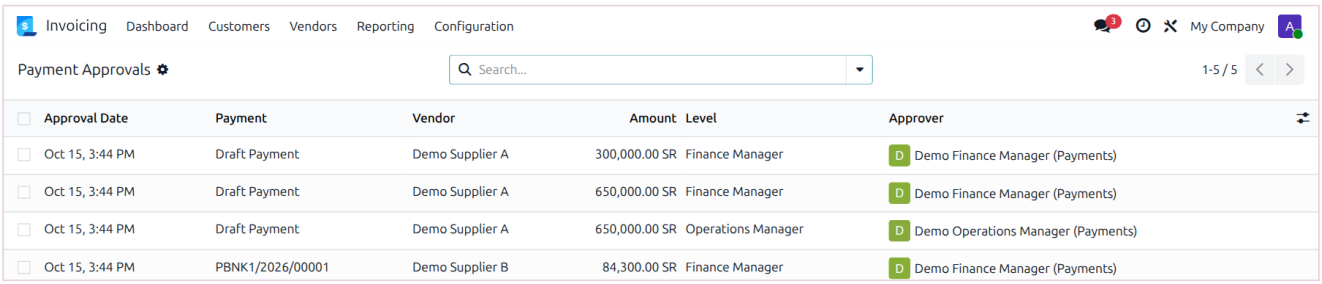


Figure 22. Payment Approvals: every approval, by level and approver.

5.3 Duplicate payments

A vendor payment with the same vendor, amount and memo as an earlier one (not cancelled) is **Blocked**. A red banner names the earlier payment. Only an administrator can press **Release Duplicate**; the release is written in the history of both payments, and the payment then goes through its approvals. The earlier payment is left as it is.

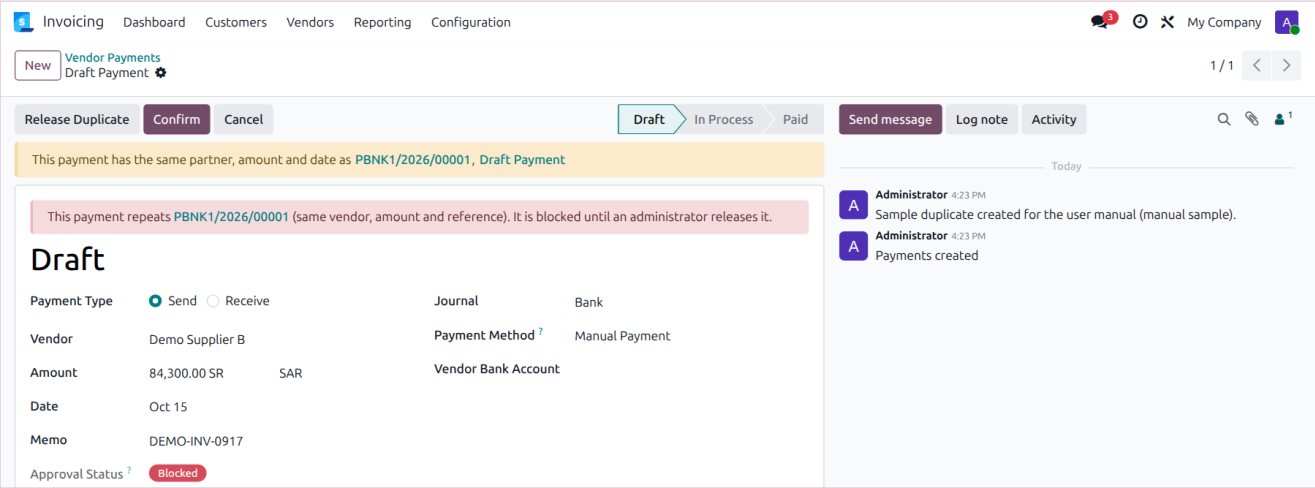


Figure 23. A blocked duplicate, waiting for an administrator.

5.4 Trusted bank accounts and shareholders

- A vendor payment to a bank account that is not trusted is refused. Check the account with the vendor, then mark it trusted.
- A payment to a contact marked **Shareholder** cannot be posted to an account marked **Payroll Expense Account**. Post it to the shareholder's account instead.

6. Quick reference and common questions

6.1 What each status means

Status	Where	What it means
Not Needed / Waiting for Approval / Approved	Order: Credit Approval	Whether the order went over a credit limit, and whether the Finance Manager approved it
Normal / Watch List / Credit Hold / Absolute Block	Customer: Credit State	See 4.1
To Approve: Finance Manager (Operations Manager, Chief Executive)	Vendor payment	Waits for that level's approval
Approved	Vendor payment	Every level needed is given; it can be confirmed
Blocked	Vendor payment	Repeats an earlier payment; waits for an administrator
Posted	Vendor payment	In process or paid

6.2 Common questions

If you see…	Here's what to do
"… has no payment term: select the payment term agreed with the customer before sending the quotation."	Choose the payment term on the quotation, then press Send again.
"… holds special items, which need a payment term with at least …% advance"	Choose a term whose Advance (%) reaches the minimum. A term approval does not lift this rule.
"… is not the customer's default payment term: the Finance Manager must approve it …"	Ask the Finance Manager to press Approve Payment Term on the quotation, or use the customer's usual term.
"… is on the credit watch list: the Operations Manager or the Finance Manager must approve sending …"	Ask one of them to press Approve Sending on the quotation.
"Credit approval needed" after pressing Confirm.	The order would go over the customer's cap or the company's ceiling. The Finance Manager approves it with Approve Credit.
"… is on Credit Hold: the order cannot be confirmed …" (or a delivery cannot be validated).	The customer has an invoice overdue past the hold days, or Finance put them on hold. Only the Finance Manager can lift it.
"… is under an absolute credit block: no quotation can be made …"	Nothing can be sold or invoiced to this customer until the Finance Manager lifts the block.
"These bills cannot be paid because they are not matched to their purchase order and receipt …"	Check the bill against the purchase order and receipt. The Finance Manager can set Should Be Paid to Yes.
"… cannot be posted before these approvals: …"	The payment still waits for the listed levels. Each approver opens it and presses Approve.
"This payment waits for the … approval, which you cannot give."	Someone with that level's approver role has to approve it.
"… repeats … (same vendor, amount and reference). It is blocked …"	If it really is a second payment, ask an administrator to press Release Duplicate; otherwise cancel it.
"The bank account … is not trusted."	Check the account with the vendor, mark it trusted, then post the payment.
"… is a payroll expense account: a payment to shareholder … cannot be posted to it."	Change the payment's destination account to the shareholder's account.

If you see…	Here's what to do
A vendor payment shows no Approvals tab.	The tab is shown to users with full accounting features and to the approvers; Payment Approvals lists the same approvals.
Vendor payments never ask for approval.	The company's thresholds are still 0 (see 2.2).